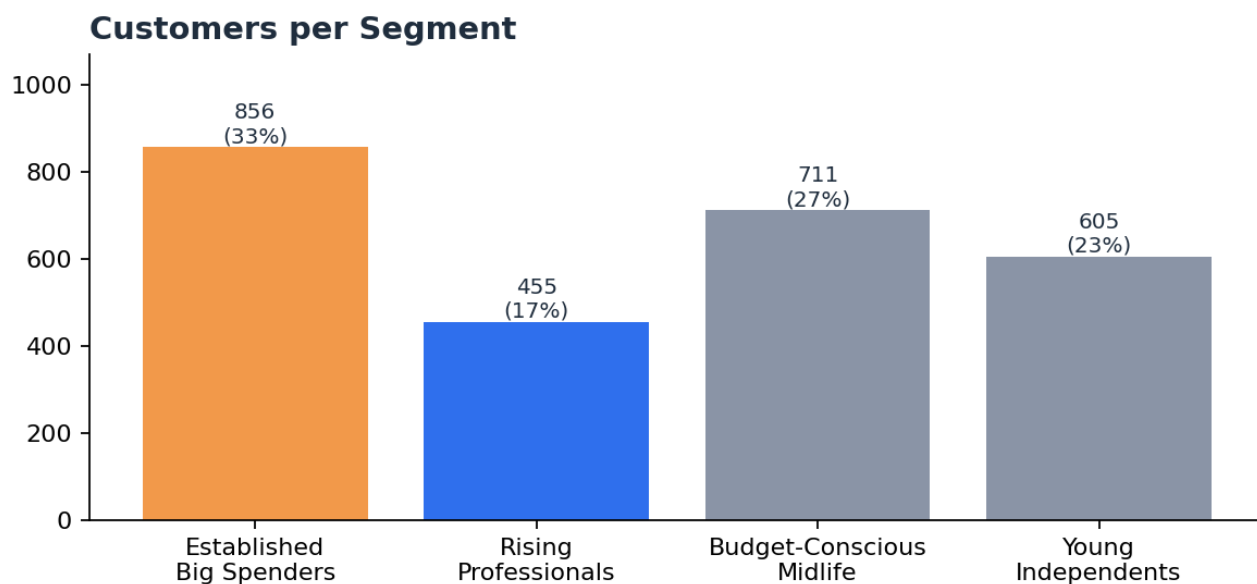


Customer Segmentation Analysis

KMeans Clustering · 2,627 Customers · 4 Segments

A note on method: this file contains one demographic snapshot per customer (age, profession, family size, a Low/Average/High spending score, etc.) with no order dates, purchase counts, or transaction amounts. True RFM metrics — Recency, Frequency, Monetary value — can't be computed from this data. This analysis instead uses **KMeans clustering** on demographic and behavioral features, with *Spending_Score* used as a proxy for monetary value.

Four segments were identified (k=4, chosen by silhouette score — see the companion workbook's Methodology tab for the full comparison across k=2 to k=7). Each is profiled below by size, demographics, and spending mix.



Segment Profiles

Segment 1 — Established Big Spenders

856 customers · 32.6% of base

Avg age	54.2 yrs
% married	97.5%
Avg family size	3.0
Spending mix	0% Low · 57% Average · 43% High
Top professions	Artist, Executive, Lawyer

The clear high-value segment: virtually no Low spenders, and this group holds 94% of all 'High' spending-score customers in the dataset despite being under a third of the base. Older, overwhelmingly married, established households.

Segment 0 — Rising Professionals

455 customers · 17.3% of base

Avg age	36.6 yrs
% married	45.1%
Avg work experience	8.5 yrs
Spending mix	74% Low · 21% Average · 5% High
Top professions	Artist, Healthcare, Entertainment

Mid-career, experienced professionals who currently spend low-to-average. Good medium-term growth target — income likely to rise with continued tenure.

Segment 3 — Budget-Conscious Midlife

711 customers · 27.1% of base

Avg age	48.6 yrs
% married	52.2%
Avg family size	1.6 (smallest)
Spending mix	100% Low
Top professions	Artist, Entertainment, Lawyer

Middle-aged with the smallest households and uniformly Low spending score. Price-sensitive; not a near-term upsell target without a value-led offer.

Segment 2 — Young Independents

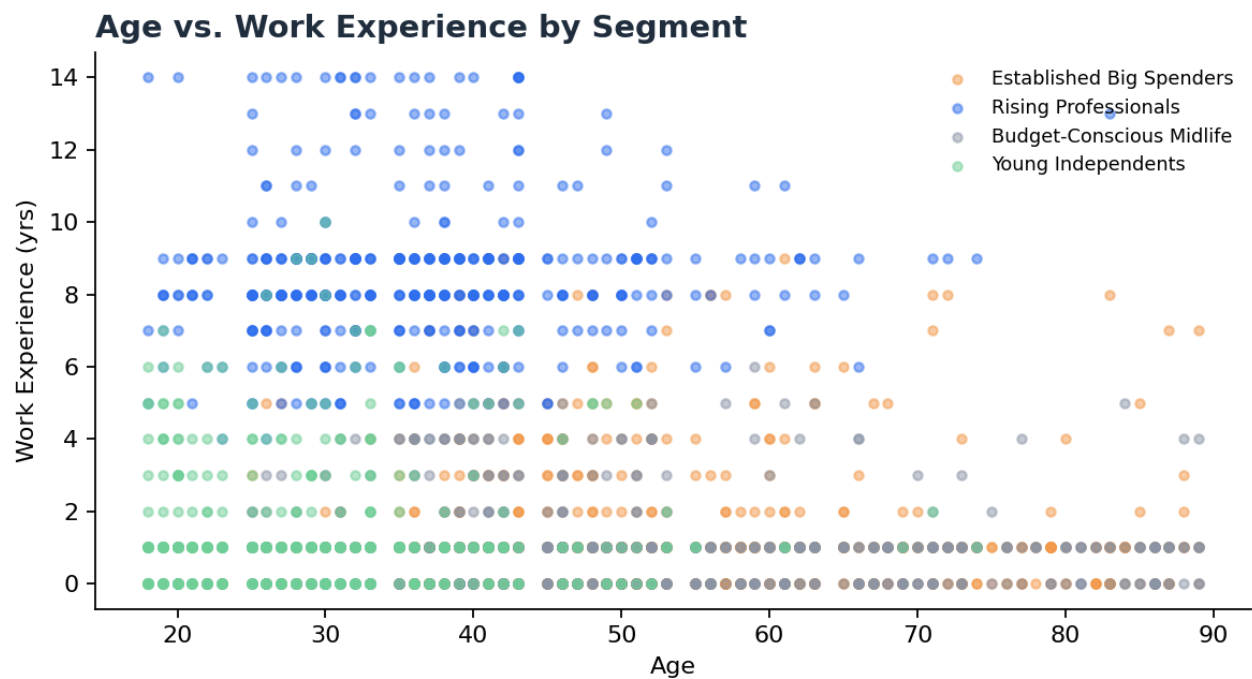
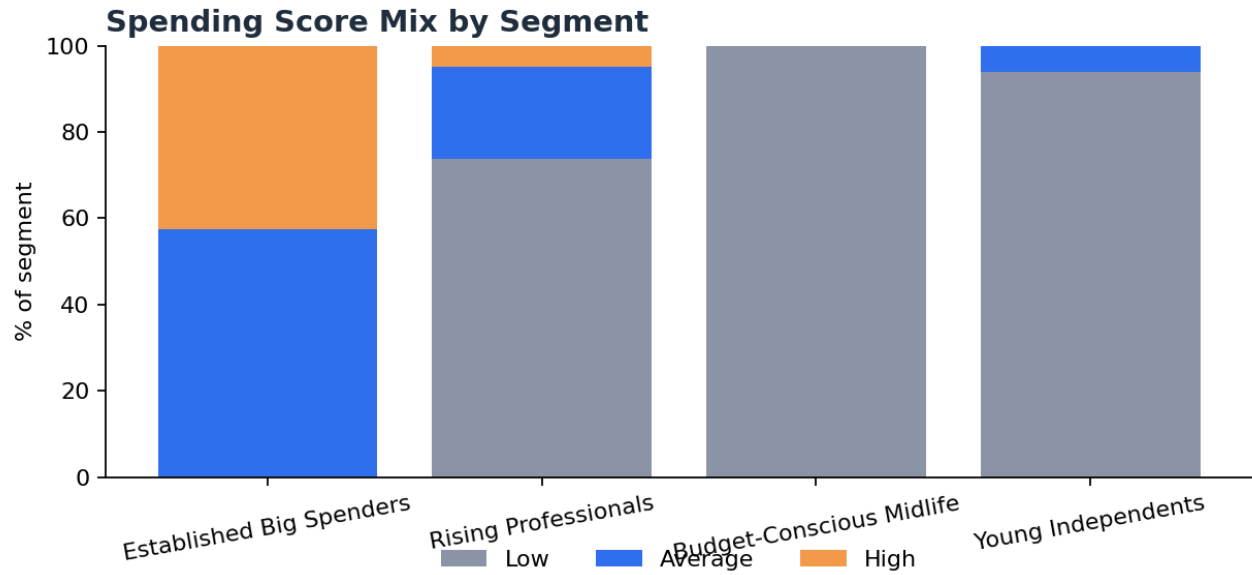
605 customers · 23.0% of base

Avg age	28.2 yrs
% married	18.0%
Avg family size	4.3 (largest)
Spending mix	94% Low · 6% Average · 0% High

Top professions	Healthcare, Artist, Doctor
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Youngest, mostly unmarried, early-career. Larger household size likely reflects living with parents/extended family rather than dependents of their own. Long-term nurture segment.

Supporting Charts



Recommendations for the High-Value Segment

Established Big Spenders (Segment 1) are the priority: they're 33% of the customer base but hold the large majority of Average/High spending-score customers. Three targeted strategies:

1. VIP / loyalty tier for professionals & executives

This segment over-indexes on Artist, Executive and Lawyer professions and is 97.5% married. A premium tier with early access, dedicated support, or professional-oriented perks (e.g. concierge service, exclusive previews) targets both their status and their demonstrated willingness to spend.

2. Household and family-bundle offers

With an average family size of 3.0 and near-universal marriage, this group is likely making household — not just individual — purchasing decisions. Family or multi-person bundles, referral incentives for spouses/family members, and household loyalty points can increase share of wallet.

3. Push the 'Average' spenders toward 'High'

57% of this segment is Average spend and only 43% is High — that's the single largest upgrade opportunity in the dataset (roughly 490 customers). Test targeted upsell campaigns, limited-time premium-tier discounts, or threshold-based rewards (e.g. 'spend \$X more to unlock Y') aimed specifically at this sub-group.

Note: Segments are derived from demographic/behavioral clustering, not verified purchase history. Validate against actual transaction data where available before large marketing spend commitments. Full methodology, cluster assignments, and live formulas are in the companion Excel workbook.